

# **CHHATTISGARH COPPER LIMITED**

**(A Joint Venture Company of HCL & CMDC)**

## **THIRD ANNUAL REPORT -2020-21**

**Chhattisgarh Copper Limited**  
(A Joint Venture Company of HCL & CMDC)

**Auditors**

M/s. V. Rawal & Co.,  
Durg

**Bankers**

State Bank of India

**Registered Office**

Room No. 19, Sector -24, Office  
Complex, Block-A, Wing -A,  
3rd Floor, New Raipur,  
Atal Nagar-492015, Raipur,  
Chhattisgarh  
Email : chhattisgarhcopper@gmail.com  
CIN : U13100CT2018GOI008543

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# CHHATTISGARH COPPER LIMITED

(A Joint Venture Company of HCL & CMDC)

CIN: U13100CT2018GOI008543

Regd Office: Room No. 19, Sector -24, Office Complex, Block-A, Wing -A, 3rd Floor,  
New Raipur, Atal Nagar-492015, Raipur, Chhattisgarh

Email: chattisgarhcopper@gmail.com

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## NOTICE

Notice is hereby given that the 3<sup>rd</sup> (Third) Annual General Meeting of the Members of Chhattisgarh Copper Ltd will be held at short notice on Friday, 3<sup>rd</sup> September, 2021, at 3:30 PM through Video Conferencing (VC) facility at Tamra Bhavan 1, Ashutosh Chowdhury Avenue, Kolkata (WB)- 700019 to transact the following businesses:

### **Ordinary Business**

1. To receive, consider and adopt the audited Financial Statement for the year ended on 31<sup>st</sup> March, 2021, along with the Reports of the Statutory Auditors, Directors and Comptroller & Auditor General of India (C&AG).
2. To appoint a Director in place of Shri Jai Prakash Maurya (DIN: 09258701), who retires by rotation and is eligible for re-appointment.
3. To appoint a Director in place of Shri Jayant Kumar Pashine (DIN: 09244731), who retires by rotation and is eligible for re-appointment.
4. To fix remuneration of Statutory Auditors for financial year 2021-22.

For Chhattisgarh Copper Ltd

  
(Mritunjay Kumar Dev)  
Company Secretary  
ACS22171

Place: Kolkata  
Date : 27/8/2021

### Encl:

1. Notes to Notice

To

1. All the Members and Directors
2. Statutory Auditors

**NOTES:**

1. In view of the continuing Covid-19 pandemic, the Ministry of Corporate Affairs ("MCA") has vide its circular dated May 5, 2020 read with circulars dated April 8, 2020 and April 13, 2020 and January 13, 2021 (collectively referred to as "MCA Circulars") permitted the holding of the Annual General Meeting ("AGM") through VC / OAVM, without the physical presence of the Members at a common venue. In compliance with the provisions of the Companies Act, 2013 ("Act"), and MCA Circulars, the AGM of the Company is being held through VC / OAVM. Hence, Members of the Company have to attend and participate in the ensuing AGM through VC/OAVM.
2. Since the AGM will be conducted through VC / OAVM, there is no requirement of appointment of Proxies. Hence, the Proxy Form is not annexed to the Notice. Also, Attendance Slip and Route Map are not annexed to the Notice. However, the Body Corporates are continued to be entitled to appoint authorized representatives to attend the AGM through VC/OAVM and participate thereat and cast their votes through e-voting.
3. In compliance with the aforesaid MCA Circulars, Notice of the AGM along with the Annual Report 2020-21 is being sent only through electronic mode.
4. Members attending the AGM through VC / OAVM shall be counted for the purpose of reckoning the quorum under Section 103 of the Act.
5. The Members can join the AGM in the VC/OAVM mode 15 minutes before and after the scheduled time of the commencement of the Meeting by following the procedure mentioned in the Notice. The facility of participation at the AGM through VC/OAVM will be made available for all the members.
6. Members may attend the AGM, by following the invitation link sent to their registered email ID along with all steps to make them enable to join the meeting.
7. Members connecting through Laptop via Mobile Hotspot may experience Audio/Video loss due to fluctuation in their network. It is, therefore, recommended to use stable Wi-Fi or LAN Connection to mitigate any kind of aforesaid glitches. For any technical assistance Members can contact Mr. Mritunjay Kumar Dev, Company Secretary at mritunjay\_kd@hindustancopper.com.
8. If poll demanded by any member pursuant to provision of Section-109 of the Act, members can convey their vote by sending email on mritunjay\_kd@hindustancopper.com through their registered email id.
9. The Members may pose questions during the course of the Meeting. The queries can also be given in advance at email mritunjay\_kd@hindustancopper.com.
10. All documents, disclosure and registers will be made available for the inspection of members during the meeting through electronic mode.

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# **CHHATTISGARH COPPER LTD**

## **Directors' Report**

**(For the Financial year ending on 31<sup>st</sup> March, 2021)**

**To  
The Members  
Chhattisgarh Copper Limited  
Atal Nagar, Raipur (CG)-492015**

Your Directors have pleasure in presenting the 3<sup>rd</sup> (Third) Annual Report of Chhattisgarh Copper Ltd (CCL/ the Company) together with audited financial statements of the Company and Auditors' Report thereon for the financial year ended on 31<sup>st</sup> March, 2021.

CCL was incorporated on 21<sup>st</sup> May, 2018 as Joint Venture Company of Hindustan Copper Ltd (HCL) and Chhattisgarh Mineral Development Corporations Ltd (CMDC) with primary objective of exploration of copper and associated mineral in the State of Chhattisgarh and thereafter mining and beneficiation thereof. The shareholding pattern between HCL and CMDC is in the ratio of 74:26 respectively and therefore CCL is also a subsidiary of HCL. The number of Directors nominated by HCL and CMDC on the Board of CCL is in the ratio of 3:2. The commercial operation of CCL is yet to be commenced. Though the commercial operation of CCL is yet to be commenced yet the Company has initiated actions for getting the reservation of mining rights in its favour for the identified potential blocks.

### **1. Financial summary**

The Company has not yet started its operation and therefore no revenue has been generated during the year. However, during the year the Company has incurred loss of Rs. 10.90 lacs as compared to Rs.3.76 lacs of previous year. The said amount has been incurred towards Consultancy Charges, General, Administration, Depreciation and other expenses.

### **2. Transfer to reserve**

The Company has not transferred any amount to the reserves during the financial year ended on 31<sup>st</sup> March, 2021.

### **3. Dividend**

In the view of non-availability of profits, the Board did not recommend any dividend for the financial year ended on 31<sup>st</sup> March 2021.

#### 4. Share capital

The details of the share capital and changes thereto during the financial year are as under:

- (a) **Authorized Share Capital:** During the financial year 2020-21, the Authorized share capital of the Company stands at Rs.10,00,00,000/- (Rupees Ten Crore Only) divided into 1,00,00,000 (One Crore Only) equity shares of Rs.10 each.
- (b) **Issued& Paid-up Share Capital:** During the financial year 2020-21, the Issued and Paid-up share capital of the Company has been increased from Rs.25,00,000/- (Twenty Five Lacs) to Rs.45,00,000/- (Rupees Forty Five Lacs) divided into 4,50,000 equity shares of face value of Rs.10/- each.

#### 5. Registered Office

During the financial year, with a view to save the cost of rent and to have a better coordination between Joint Venture Partners, the Registered office of the Company has been shifted from Qtr No.002B, Street-40, Sector-5, Bhilai, Durg (CG)-490006 to Room No. 19, Sector -24, Office Complex, Block-A, Wing -A, 3rd Floor, New Raipur, Atal Nagar-492015, Raipur, Chhattisgarh.

#### 6. Operational review

The Company has initiated action for obtaining PL/ML for undertaking exploration of copper mineral in the State of Chhattisgarh. After examining the geological information available, the Company has identified Bodal Block (21.75 Sqkm) and Hidder Block (about 28.60Sq km) located at District Rajnandgaon. The Company has submitted application for area reservation for above Blocks in the month of July, 2018 under Section 17A of MMDR Act 1957 to the Ministry of Mines, Government of India (MoM) and State Government of Chhattisgarh. The proposal was forwarded by the Ministry of Mines to Indian Bureau of Mines (IBM). IBM has sought some clarification, reply to which has been submitted by the Company. State Government of Chhattisgarh has recommended reservation of the Blocks in favour of the Company and communicated to the MoM. The final reply from the Government of India is awaited.

During the year the Company had also made application for getting fund from NMET for exploration in Hidder and Bodal Blocks. However, it was communicated by the MoM that as per the existing provisions, the mine allocated to a PSU cannot be taken up for exploration under NMET. In view of above, MoM was conveyed that after allocation of Hidder and Bodal Blocks to CCL, the Company will carry out exploration of the above blocks on its own.

## **7. Material changes affecting the financial position of the Company**

No material change occurred or commitments made by the Company between the end of the financial year and the date of this report having effect on the financial position of the Company.

## **8. Changes in the nature of business**

There is no change in the nature of the business of the Company during the financial year.

## **9. Significant or material orders passed by the Regulators or Courts or Tribunals**

There is no significant or material order passed by the Regulators or Courts or Tribunals under the Companies Act, 2013 which would impact the going concern status of the Company's operations in future.

## **10. Status of subsidiary, joint venture and associate company**

The Company does not have any subsidiary, joint venture or associate company during the financial year ended on 31<sup>st</sup> March, 2021.

## **11. Deposit**

The Company has not taken any Deposits covered under or which are not in compliance with the requirements of Chapter V of the Companies Act, 2013.

## **12. Particulars of loan, guarantees or investment:**

During the financial year, the Company has not given any loan, guarantees and security or not made any investment which was covered under the provisions of the section 186 of the Companies Act, 2013.

## **13. Related party transactions**

During the year, no contracts / arrangements entered into by the Company with related parties referred in Section 188 (1) of the Companies Act, 2013.

## **14. Business risk management**

As per section 134(3)(n) of the Companies Act, 2013, the risk factor associated with the Company is the outcome of the exploration activities as the viability of the project can be established only after the detailed exploration of both the

areas. Apart from that no risk element has been identified which may threaten the existence of the Company.

#### **15. Internal financial control and their adequacy**

The Company has an internal control system, commensurate with the size, scale and complexity of its operations. Further, the Company has adequate internal financial control system over financial reporting and such internal financial Control is operating effectively.

#### **16. Conservation of energy, technology absorption, foreign exchange earnings and outgo under Section 134(3)(m) of the Companies Act, 2013**

Since the Company is yet to start its commercial operations, it has been working with the minimum bare requirements for managing the day-to-day operation and hence does not have scope for taking any step for conservation of energy, technology absorption. There was no foreign exchange earnings and outgo during the year.

#### **17. Corporate Social Responsibility (CSR)**

Since the Company does not have prescribed net worth, turnover or net profit as per Section 135 of the Companies Act, 2013, therefore, it is not required to constitute CSR committee and formulate CSR policy.

#### **18. Directors and Key Managerial Personnel**

Details of the Directors, Key Managerial Personnel and changes occurred therein during the financial year are given as under:

| <b>S. No.</b> | <b>Name of the Directors</b>               | <b>Designation</b> | <b>Date of appointment</b> | <b>Date of cessation</b> |
|---------------|--------------------------------------------|--------------------|----------------------------|--------------------------|
| 1.            | Shri Arun Kumar Shukla<br>(DIN: 03324672)  | Managing Director  | 01/01/2020                 | NA                       |
| 2.            | Shri Jai Prakash Maurya<br>(DIN: 09258701) | Nominee Director   | 29/07/2021                 | NA                       |
| 3.            | Shri Sameer Vishnoi<br>(DIN: 07401224)     | Nominee Director   | 16/06/2020                 | 29/07/2021               |
| 4.            | Shri Ajeet Vasant<br>(DIN:08516212)        | Nominee Director   | 20/07/2019                 | 16/06/2020               |

|     |                                                    |                        |            |            |
|-----|----------------------------------------------------|------------------------|------------|------------|
| 5.  | Shri Sukhen Kumar Bandyopadhyay<br>(DIN: 08173882) | Nominee Director       | 01/01/2020 | NA         |
| 6.  | Shri Vinay Kumar Singh<br>(DIN: 08306517)          | Nominee Director & CEO | 17/12/2018 | 13/08/2021 |
| 7.  | Shri Jayant Kumar Pashine<br>(DIN: 09244731)       | Nominee Director       | 29/07/2021 | NA         |
| 8.  | Shri Upendra Kumar<br>(DIN: 08788713)              | Nominee Director       | 02/09/2020 | 29/07/2021 |
| 9.  | Dr. Sanjay Khare<br>(DIN:08560316)                 | Nominee Director       | 15/10/2019 | 02/09/2020 |
| 10. | Shri Lokesh Purohit                                | CFO                    | 03/11/2020 | NA         |
| 11. | Shri Hemant Kishore Verma                          | CFO                    | 10/12/2018 | 03/11/2020 |
| 12. | Shri Mritunjay Kuamr Dev                           | CS                     | 15/06/2018 | NA         |

During the period, S/Shri Ajeet Vasant, Sameer Vishnoi, Sanjay Khare, Upendra Kumar and Vinay Kumar Singh, ceased to be Directors of the Company due to change in the nominations by the respective promoters. Shri Lokesh Purohit was appointed as Chief Financial Officer in place of Shri Hemant Kishore Verma w.e.f. 03/11/2021. The Board placed on record its deep appreciation for the valuable services rendered and contribution made by them during their tenure as Directors and Key Managerial Personnel of the Company.

#### **19. Directors remuneration:**

No remuneration was paid to the Directors of the Company during the financial year.

#### **20. Directors responsibility statement:**

In terms of Section 134(5) of the Companies Act, 2013, the Directors state that:

- in the preparation of the annual accounts, the applicable accounting standards have been followed along with proper explanation relating to material departures, if any;

- b) the Directors have selected such accounting policies and applied them consistently and made judgments and estimates that were reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period;
- c) the Directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of this Act for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
- d) the Directors have prepared the annual accounts on a going concern basis; and
- e) the Directors had devised proper system to ensure compliance with the provisions of all applicable laws and that such system was adequate and operating effectively.

## 21. Board meetings

During the year 4 (four) Board meetings were held on 16<sup>th</sup> June, 2020, 2<sup>nd</sup> September, 2020, 3<sup>rd</sup> November, 2020 and 27<sup>th</sup> January, 2021. The necessary quorum was present in all the said meetings and the proceedings of the meetings have been duly recorded in minute book maintained for the purpose. Attendance of Directors at Board meetings was as given below:

| Sl. No. | Name of the Director            | Designation       | No. Board meetings |          |
|---------|---------------------------------|-------------------|--------------------|----------|
|         |                                 |                   | Entitled           | Attended |
| 1.      | Shri Arun Kumar Shukla          | Managing Director | 4                  | 4        |
| 2.      | Shri Jai Prakash Maurya         | Director          | NA                 | NA       |
| 3.      | Shri Sameer Vishnoi             | Director          | 4                  | 4        |
| 4.      | Shri Ajeet Vasant               | Director          | NA                 | NA       |
| 5.      | Shri Sukhen Kumar Bandyopadhyay | Director          | 4                  | 4        |
| 6.      | Shri Vinay Kumar Singh          | Director          | 4                  | 4        |
| 7.      | Shri Jayant Kumar Pashine       | Director          | NA                 | NA       |
| 8.      | Shri Upendra Kumar              | Director          | 3                  | 3        |
| 9.      | Shri Sanjay Khare               | Director          | 1                  | 1        |

## **22. Statutory Auditors**

The Comptroller & Auditor General of India (the C&AG) has appointed M/s V Rawal & Co, Chartered Accountants, Durg (CG) as the Statutory Auditors of the Company for the financial year ended on 31<sup>st</sup> March, 2021.

## **23. Comments of C&AG**

The Comments of C&AG under the Companies Act, 2013 on the accounts of the Company for the year ended on 31<sup>st</sup> March, 2021 are Annexed to this Report **Annexure-I**.

## **24. Disclosure on Secretarial Standard**

The provisions of applicable Secretarial Standards were complied with during the year.

## **25. Disclosure under the Sexual Harassment of Woman at Workplace (Prevention, Prohibition and Redressal) Act, 2013**

All employees of the Company are treated with dignity with a view to maintain a work environment free of sexual harassment whether physical, verbal or psychological. During the year the Company has not received any complaints on sexual harassment.

## **26. Maintenance of cost records**

The Company is not required to maintain cost accounts and records and to conduct cost audit as per the requirements of Section 148 of the Companies Act, 2013 and the Rules framed there under.

## **27. Proceeding under the Insolvency and Bankruptcy Code, 2016**

No application was made or proceeding was pending under the Insolvency and Bankruptcy Code, 2016 during the year.

## **28. Difference in valuation at the time of one time settlement and valuation while taking loan from the Banks or Financial Institutions**

No one time settlement was done or loan was taken from the Banks or Financial Institutions and hence no valuation in this regard was done during the year.

## **29. Vigil Mechanism**

The Company is an unlisted public Company and it does not accept deposit from public and not borrowed any fund from bank & financial institution.

Therefore, it is not required to establish vigil mechanism in terms of Section 177 (9) of the Companies Act, 2013.

### **30. Independent Directors**

As the Company does not fall under the purview of Rule-4 of the Companies (Appointment and qualification of Directors) Rules, 2014, therefore, it is not required to appoint Independent Directors on its Board.

### **31. Annual Evaluation of The Board Performance**

The paid-up share capital of the Company is not more than Rs.25 crore at the end of the preceding financial year. Therefore, the disclosure under section 134(3)(p) of the Companies Act, 2013 is not required.

### **32. Fraud Reported Under Section 143(12) by the Auditor:**

During the financial year, no fraud was reported by the Auditor under Section 143(12) of the Companies Act, 2013.

### **33. Particulars of Employees**

Under the provisions of Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, no employee of your Company was in receipt of remuneration as prescribed under the said rules.

### **34. Acknowledgement**

The Board of Directors takes this opportunity to express its appreciation for the support and co-operation extended by the Government of India, State Government of Chhattisgarh. The Directors also appreciate the support received from auditors, bankers and all the stakeholders of the Company.

For and on behalf of the Board of Directors

Sd/-  
(Sukhen Kumar Bandyopadhyay)  
Director  
DIN: 08173882

Sd/-  
(Arun Kumar Shukla)  
Managing Director  
DIN: 03324672

Date: 20.8.2021  
Place: Kolkata

ANNEXURE-I**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER SECTION 143(6)(b) OF THE COMPANIES ACT, 2013 ON THE FINANCIAL STATEMENTS OF CHHATTISGARH COPPER LIMITED FOR THE YEAR ENDED 31 MARCH 2021**

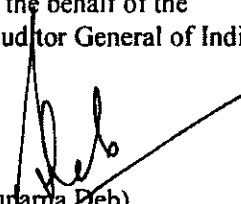
The preparation of financial statements of Chhattisgarh Copper Limited for the year ended 31 March 2021 in accordance with the financial reporting framework prescribed under the Companies Act, 2013 (Act) is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under Section 139(5) of the Act is responsible for expressing opinion on these financial statements under section 143 of the Act based on independent audit in accordance with the standards on auditing prescribed under section 143(10) of the Act. This is stated to have been done by them vide their Audit Report dated 24 May 2021.

I, on behalf of the Comptroller and Auditor General of India, have decided not to conduct the supplementary audit of the financial statements of Chhattisgarh Copper Limited for the year ended 31 March 2021 under section 143(6)(a) of the Act.

Place: Kolkata

Date: - 3 AUG 2021

For and on the behalf of the  
Comptroller & Auditor General of India



(Suparna Deb)

Director General Audit (Mines)  
Kolkata

# V. RAWAL & CO.

CHARTERED ACCOUNTANTS

SM-11, 1<sup>ST</sup> FLOOR,  
GAURAV PATH ROAD,  
PADAMNABHPUR,  
DURG (C.G.) 491001  
PH. NO.: 0788-2332656  
EMAILID: cawrawal@rediffmail.com

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## Report on the standalone Financial Statements

To,

The members of Chhattisgarh Copper Limited

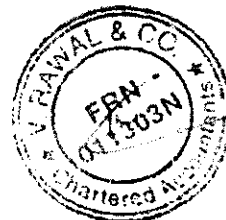
### Opinion

We have audited the accompanying Standalone financial statements of M/s. Chhattisgarh Copper Limited ("the company") which comprises the Balance Sheet as at March 31, 2021, the Statement of Profit and Loss, and statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at March 31, 2021, and profit/loss, and its cash flows for the year ended on that date:

### Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities under those Financial Statements section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Companies Act, 2013 and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.



### **Responsibility of Management for the Standalone Financial Statements**

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Companies Act, 2013 ("the Act") with respect to the preparation of these standalone financial statements that give a true and fair view of the financial position, financial performance, and cash flow of the Company in accordance with the accounting principles generally accepted in India, including the accounting Standards specified under section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the asset of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal Financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting record, relevant to the preparation and presentation of the financial statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Those Board of Directors are also responsible for overseeing the company's financial reporting Process.

### **Auditor's Responsibility for Audit of the Financial Statements**

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.



### **Report on Other Legal and Regulatory requirements**

As required by the **Companies (Auditor's Report) Order, 2016** ("the Order"), issued by the Central Government of India in terms of sub-section (11) of section 143 of the Companies Act 2013, we give in the Annexure "a" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.

As required by section 143(5) of the act, we give in the Annexure "B" a statement of our replies to the directions/additional directions issued by **Comptroller and Auditor General of India (C&AG)**

As required by Section 143(3) of the Act, we report that:

- a) We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit.
- b) In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- c) The Balance Sheet, The Statement of Profit and Loss, and the Cash Flow Statement dealt with by this Report are in agreement with the books of account.
- d) In our opinion, the aforesaid standalone financial statements comply with the Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- e) In our opinion, provisions under section 164(2) of the Act, regarding disqualification of Directors are not applicable to a Government Company in terms of Notification No. G.S.R 463(E) dated 05.06.2015 issued by Ministry of Corporate Affairs.
- f) With respect to the adequacy of internal financial control over financial reporting of the company and the operating effectiveness of such controls, refer to our separate report in the Annexure "C".
- g) With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanation given to us:
  1. The Company does not have any pending litigation which would impact its financial position.
  2. company did not have any long-term contracts including derivatives contracts for which there were any material foreseeable losses.

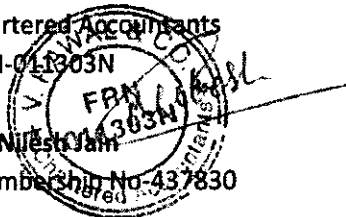
For, M/s V. Rawal & Co.

Chartered Accountants

FRN-011303N

CA Nitesh Jain

Membership No-437830



**"ANNEXURE A" TO INDEPENDENT AUDITOR'S REPORT**

**(Referred to in paragraph 1 under "Report on Other Legal and Regulatory Requirements" of our Report of even date to the members of  
M/S CHHATTISGARH COPPER LIMITED)**

On the accounts of the company for the year ended on 31st March, 2021

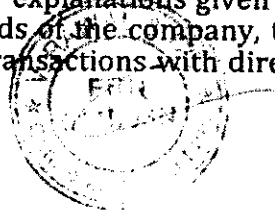
On the basis of such checks as we considered appropriate and according to the information and explanation given to us during the course of our audit, we report that:

- I. In respect of its fixed assets:-
  - (a) The Company has maintained proper records showing full particulars, including quantitative details and situation of fixed assets.
- II. As explained to us and the information provided by the management, The Company is still in exploration phase. As on date the company does not have any physical inventory.
- III. In our opinions and according to the information and explanations given to us, the Company has not granted any loan to parties covered in the register maintained under section 189 of the Companies Act 2013, Accordingly, paragraph 3(iii) of the Order is not applicable.
- IV. In our opinion and according to the information and explanations given to us, the Company has complied with the provision of section 185 and 186 of the act, with respect to the loans and investments made. The company has neither issued any guarantee nor has provided any security on behalf of any part.
- V. In our opinion and according to the information and explanations given to us, the Company has not accepted any deposit from the public and hence reporting under paragraph 3(v) of the Order is not applicable.
- VI. The maintenance of cost records has been specified by the Central Government under section 148(1) of the Companies Act, 2013. The company has not commenced business yet, No records have been maintained by the company.
- VII. In respect of Statutory dues:
  - (A) According to the information and explanations given to us and on the basis of our examination of the records of the company, amounts deducted/ accrued in the books of accounts in respect of undisputed statutory dues including provident fund, Employee State Insurance, income tax, sales tax, services tax, duty of Excise



Duty of customs, value added tax, cess and other material statutory dues have been regularly deposited during the year by the company with the appropriate authorities, no undisputed amounts payable in respect of provident fund, income tax, goods & service tax, duty of customs, value added tax, cess and other material statutory dues were in arrears as at 31 March, 2021 for a period of more than six months from the date they became payable.

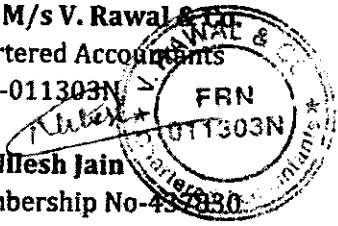
(B) According to the information and explanations given to us, and the records of the company examined by us, there are no disputed tax matters as on 31 March, 2021.

- VIII. According to the information and explanations given to us by the management, the Company has not defaulted in any repayment of the loans or borrowings from financial institution, banks nor has it issued any debentures.
- IX. According to the information and explanations given to us by the management and based on records of the company examined by us, the company has not raised money by way of initial public offer or further public offer including debt instruments and term loan. Accordingly, the provision of clause 3 (ix) of the order are not applicable to the company and hence not commented upon.
- X. According to the information and explanations given to us, no fraud by the Company or on the Company by its officers or employees has been noticed or reported during the course of our audit.
- XI. According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not paid/ provided any managerial remuneration.
- XII. In our opinion and according to the information and explanations given to us, the Company is not a nidhi company. Accordingly, paragraph 3(xii) of the Order is not applicable.
- XIII. According to the information and explanations given to us, and based on our examination of the records of the company, the transaction with the related parties are in compliance with Section 177 & 188 of the Act where applicable and details of such transactions have been disclosed in the financial statement as required by applicable accounting standards wherever required.
- XIV. According to the information and explanations given to us, and based on our examination of the records of the company, the company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year, hence reporting under paragraph 3 (xiv) of the Order is not applicable.
- XV. According to the information and explanations given to us, and based on our examination of the records of the company, the company has not entered into any non-cash transactions with directors or persons
- 

connected with him. Accordingly, paragraph 3 (xv) of the order is not applicable.

- XVI. The company is not required to be registered under section 45-IA of the Reserve Bank of India Act, 1934.

For, M/s V. Rawal & Co.  
Chartered Accountants  
FRN-011303N  
CA Nitesh Jain  
Membership No-437830



**"ANNEXURE B" TO INDEPENDENT AUDITOR'S REPORT**

Directions under section 143(5) of the Companies Act, 2013:

| Sl. No. | Directions                                                                                                                                                                                                                                                                           | Action Taken                                                                                                                                                                                          | Impact on Accounts and Financial statements                  |
|---------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------|
| 1.      | Whether the company has system in place to process all the accounting transactions through IT Systems If yes, the implications of processing of accounting transactions outside IT system on the integrity of the accounts along with financial implications, if any, may be stated. | Yes, the company has system in place to process all the accounting transactions through IT System.                                                                                                    | There is no impact on the accounts and financial statements. |
| 2.      | Whether there is any restructuring of any existing loan or cases of waiver/write off of debts/loans/interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated.                                      | Based on the information available to us, there is no restructuring of any existing loan or cases of waiver/write off of debts/loans/interest etc. made by a lender to the company during FY 2020-21. | There is no impact on the accounts and financial statements. |
| 3.      | Whether funds received/receivable for specific Schemes from Central/State agencies were properly accounted for / utilized as per its term and conditions* List the cases of deviation.                                                                                               | No funds Received/receivable for specific schemes from Central/State agencies during FY 2020-21.                                                                                                      | There is no impact on the accounts and financial statements. |

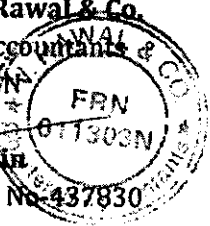
For, M/s V. Rawal &amp; Co.

Chartered Accountants &amp; Co.

FRN-011303N

CA Nitesh Jain

Membership No-437830



**"ANNEXURE C" TO INDEPENDENT AUDITOR'S REPORT**

Report on Internal Financial Controls under clause (i) of Sub-section 3 of Sec 143 of Companies Act, 2013("the Act")

We have audited the internal financial controls over financial reporting of **M/s Chhattisgarh Copper Limited ("the Company")** as of 31<sup>st</sup> March, 2021 in conjunction with our audit of the Ind AS financial statements of the Company for the year ended on that date.

**Management's Responsibility for Internal Financial Controls**

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls over Financial Reporting issued by the Institute of Chartered Accountants of India (ICAI). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013.

**Auditors' Responsibility**

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Ind AS financial statements, whether due to fraud or error.



We believe that the audit evidence we have obtained is sufficient and appropriate to provide a base for our audit opinion on the Company's internal financial controls system over financial reporting.

**Meaning of Internal Financial Controls over Financial Reporting**

A Company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A Company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorizations of management and directors of the Company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

**Inherent limitations of Internal Financial Controls over Financial Reporting**

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

**Opinion**

In our opinion, to the best of our information and according to the explanations given to us, the Company has, in all material respects, an adequate internal financial controls over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31 March, 2021 based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on audit of internal financial controls over financial reporting issued by the Institute of Chartered Accountants of India.

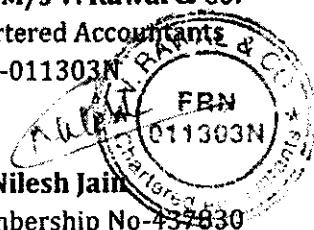
For, M/s V. Rawal & Co.

Chartered Accountants

FRN-011303N

CA Nilesh Jain

Membership No-437830



**CHHATTISGARH COPPER LIMITED**  
(A Joint Venture Company of HCL & CMDC)  
STANDALONE BALANCE SHEET AS AT 31st MAR. 2021

21

(Fig in Rs.)

| Particulars |                                                            | Note No. | As at 31st Mar.2021 | As at 31st March.2020 |
|-------------|------------------------------------------------------------|----------|---------------------|-----------------------|
| <b>A)</b>   | <b>ASSETS</b>                                              |          |                     |                       |
| <b>1</b>    | <b>Non-Current Assets</b>                                  |          |                     |                       |
|             | Property, plant and equipment                              | 1        | 2,88,967            | 3,96,549              |
|             | Capital work-in-progress                                   |          |                     |                       |
|             | Other intangible assets                                    |          |                     |                       |
|             | Investments in subsidiaries, associates and joint ventures |          |                     |                       |
|             | Financial assets                                           |          |                     |                       |
|             | Investments                                                |          |                     |                       |
|             | Loans                                                      |          |                     |                       |
|             | Other financial assets                                     |          |                     |                       |
|             | Income Tax assets (net)                                    |          |                     |                       |
|             | Deferred tax assets (net)                                  |          |                     |                       |
|             | Other non-current assets                                   |          |                     |                       |
|             | <b>Sub-total - Non-Current Assets</b>                      |          | <b>2,88,967</b>     | <b>3,96,549</b>       |
| <b>2</b>    | <b>Current assets</b>                                      |          |                     |                       |
|             | Inventories                                                |          |                     |                       |
|             | Financial assets                                           |          |                     |                       |
|             | Investments                                                |          |                     |                       |
|             | Trade receivables                                          |          |                     |                       |
|             | Cash and cash equivalents                                  | 2        | 4,34,569            | 15,051                |
|             | Bank balances other than Cash and Cash equivalents above   |          |                     |                       |
|             | Other financial assets                                     |          |                     |                       |
|             | Other current assets                                       | 3        | 2,81,660            | 1,19,700              |
|             | Assets classified as held for sale                         |          |                     |                       |
|             | <b>Sub-total - Current Assets</b>                          |          | <b>7,16,229</b>     | <b>1,34,751</b>       |
|             | <b>TOTAL - ASSETS</b>                                      |          | <b>10,05,196</b>    | <b>5,31,300</b>       |
| <b>B)</b>   | <b>EQUITY AND LIABILITIES</b>                              |          |                     |                       |
| <b>1</b>    | <b>Equity</b>                                              |          |                     |                       |
|             | Equity Share capital                                       | 4        | 45,00,000           | 25,00,000             |
|             | Other equity                                               | 5        | (39,46,399)         | (28,56,096)           |
|             | <b>Sub-total - Shareholders' funds</b>                     |          | <b>5,53,601</b>     | <b>(3,56,096)</b>     |
| <b>2</b>    | <b>Liabilities</b>                                         |          |                     |                       |
|             | Non-current liabilities                                    |          |                     |                       |
|             | Financial liabilities                                      |          |                     |                       |
|             | Other financial liabilities                                |          |                     |                       |
|             | Provisions                                                 |          |                     |                       |
|             | Income tax liabilities (net)                               |          |                     |                       |
|             | Other non-current liabilities                              |          |                     |                       |
|             | <b>Sub-total - Non-current liabilities</b>                 |          | <b>-</b>            | <b>-</b>              |
| <b>3</b>    | <b>Current liabilities</b>                                 |          |                     |                       |
|             | Financial liabilities                                      |          |                     |                       |
|             | Trade payables                                             |          |                     |                       |
|             | Other financial liabilities                                |          |                     |                       |
|             | Other current liabilities                                  | 6        | 4,26,595            | 8,45,898              |
|             | Provisions                                                 | 7        | 25,000              | 41,498                |
|             | Current tax liabilities (net)                              |          |                     |                       |
|             | <b>Sub-total - Current liabilities</b>                     |          | <b>4,51,595</b>     | <b>8,87,396</b>       |
|             | <b>TOTAL - EQUITY AND LIABILITIES</b>                      |          | <b>10,05,196</b>    | <b>5,31,300</b>       |

In terms of our report of even date attached

For and on behalf of the Board of Directors

For V Rawal & Co.  
Chartered Accountants  
Firm Regd. No. 011303N

Noida  
(Page 1)  
M.No. 037830  
Place  
Date: 29/03/21

Vinay Kumar Singh  
Director & CEO  
(DIN: 08306517)

Munish Kumar Dev  
Company Secretary  
M.No. ACS 22171

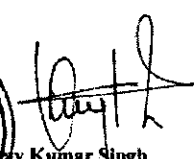
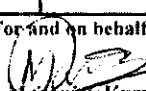
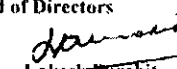
S K Bandyopadhyay  
Director  
(DIN: 08173882)

Lokesh Purohit  
Chief Financial Officer

Arun Kumar Shukla  
Managing Director  
(DIN: 03324672)

UDIN: 21439830AAA9L9323

**CHHATTISGARH COPPER LIMITED**  
(A Joint Venture Company of HCL & CMDC)

| <b>STANDALONE STATEMENT OF PROFIT AND LOSS ACCOUNT FOR THE YEAR ENDED 31ST MAR, 2021</b>                                                                                                                                                |          |                                                                                                                                                                                                                                                                                             |                                     |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|
| (Fig in Rs.)                                                                                                                                                                                                                            |          |                                                                                                                                                                                                                                                                                             |                                     |
| Particulars                                                                                                                                                                                                                             | Note No. | For the year ended 31st Mar, 2021                                                                                                                                                                                                                                                           | For the year ended 31st March, 2020 |
| 1.a. Revenue from Operations                                                                                                                                                                                                            |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 1.b. Other Income                                                                                                                                                                                                                       |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 1. Total Income [1.a. + 1.b.]                                                                                                                                                                                                           |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 2. Expenses                                                                                                                                                                                                                             |          |                                                                                                                                                                                                                                                                                             |                                     |
| a) Cost of Materials Consumed                                                                                                                                                                                                           |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| b) Changes in Inventories of Finished Goods, Semi-Finished and Work-in-process                                                                                                                                                          |          |                                                                                                                                                                                                                                                                                             |                                     |
| c) Employee Benefits Expense                                                                                                                                                                                                            |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| d) Finance Costs                                                                                                                                                                                                                        |          |                                                                                                                                                                                                                                                                                             |                                     |
| e) Depreciation and Amortisation Expense                                                                                                                                                                                                | 8        | 96,463                                                                                                                                                                                                                                                                                      | 98,259                              |
| f) Advertising & Promotions                                                                                                                                                                                                             |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| g) General, Administration and Other expenses                                                                                                                                                                                           | 9        | 9,93,840                                                                                                                                                                                                                                                                                    | 2,78,010                            |
| 2. Expenses [sum of (a) to (g)]                                                                                                                                                                                                         |          | 10,90,303                                                                                                                                                                                                                                                                                   | 3,76,269                            |
| 3. Profit/(Loss) Before Exceptional Items and Tax (1-2)                                                                                                                                                                                 |          | (10,90,303)                                                                                                                                                                                                                                                                                 | (3,76,269)                          |
| 4. Exceptional items                                                                                                                                                                                                                    |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 5. Profit/(Loss) Before Tax (3-4)                                                                                                                                                                                                       |          | (10,90,303)                                                                                                                                                                                                                                                                                 | (3,76,269)                          |
| 6. Tax expenses                                                                                                                                                                                                                         |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 7. Profit/(Loss) for the period from Continuing operations After Tax (5-6)                                                                                                                                                              |          | (10,90,303)                                                                                                                                                                                                                                                                                 | (3,76,269)                          |
| 8. Profit/(Loss) from Discontinuing operations before After Tax                                                                                                                                                                         |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 9. Tax expenses of discontinued operations                                                                                                                                                                                              |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 10. Profit/(Loss) from Discontinuing operations After Tax(8-9)                                                                                                                                                                          |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 11. Profit/(Loss) for the period After Tax (7+10)                                                                                                                                                                                       |          | (10,90,303)                                                                                                                                                                                                                                                                                 | (3,76,269)                          |
| 12. Other Comprehensive Income (Net of tax)- net credit / (charge)                                                                                                                                                                      |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 13. Total Comprehensive Income for the period (11+12)                                                                                                                                                                                   |          | (10,90,303)                                                                                                                                                                                                                                                                                 | (3,76,269)                          |
| 14. Paid up Equity Share Capital (face value Re. 10 per share)                                                                                                                                                                          |          | 45,00,000                                                                                                                                                                                                                                                                                   | 25,00,000                           |
| 15. Reserves excluding Revaluation Reserve as per Balance Sheet                                                                                                                                                                         |          | (39,46,399)                                                                                                                                                                                                                                                                                 | (28,56,096)                         |
| 16. Earnings Per Share (for continuing operations)                                                                                                                                                                                      |          |                                                                                                                                                                                                                                                                                             |                                     |
| (a) Basic - (₹)                                                                                                                                                                                                                         |          | (2.42)                                                                                                                                                                                                                                                                                      | (1.51)                              |
| (b) Diluted - (₹)                                                                                                                                                                                                                       |          | (2.42)                                                                                                                                                                                                                                                                                      | (1.51)                              |
| 17. Earnings Per Share (for discontinued operations)                                                                                                                                                                                    |          |                                                                                                                                                                                                                                                                                             |                                     |
| (a) Basic - (₹)                                                                                                                                                                                                                         |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| (b) Diluted - (₹)                                                                                                                                                                                                                       |          | -                                                                                                                                                                                                                                                                                           | -                                   |
| 18.iii Earnings Per Share (for discontinued operations)                                                                                                                                                                                 |          |                                                                                                                                                                                                                                                                                             |                                     |
| (a) Basic - (₹)                                                                                                                                                                                                                         |          | (2.42)                                                                                                                                                                                                                                                                                      | (1.51)                              |
| (b) Diluted - (₹)                                                                                                                                                                                                                       |          | (2.42)                                                                                                                                                                                                                                                                                      | (1.51)                              |
| In terms of our report of even date attached                                                                                                                                                                                            |          | For and on behalf of the Board of Directors                                                                                                                                                                                                                                                 |                                     |
| V Rawal & Co.<br>Chartered Accountants<br>Firm Reg. No. 011303N<br><br>Nitesh Jaiswal<br>(Partner)<br>M.No: 4378390<br>Place: Durg<br>Date: 24.06.21 |          | <br>Manoj Kumar Dev<br>Company Secretary<br>M.No. ACS 22171<br><br>S K Bandyopadhyay<br>Director<br>(DIN: 08173882) |                                     |
|                                                                                                                                                                                                                                         |          | <br>Lakshmi Purohit<br>Chief Financial Officer<br><br>Arun Kumar Shukla<br>Managing Director<br>(DIN: 03324672)   |                                     |

UDIN - 21437830 AAAA 219323

## STANDALONE STATEMENT OF CHANGE IN EQUITY FOR THE YEAR ENDED 31 MARCH 2021

| A.EQUITY SHARE CAPITAL   |                                                |                          | Fig in Rs |
|--------------------------|------------------------------------------------|--------------------------|-----------|
| Balance As On 01.04.2019 | Change In Equity Share Capital During The Year | Balance As On 31.03.2020 |           |
| 25,00,000                | -                                              | 25,00,000                |           |

| B. Other Equity                        | General Reserve | Capital Reserve | Retained Earnings | Total       |
|----------------------------------------|-----------------|-----------------|-------------------|-------------|
| Balance As On 01.04.2019               | -               | -               | (24,79,827)       | (24,79,827) |
| Change In Other Equity During The Year | -               | -               | (3,76,269)        | (3,76,269)  |
| Balance As On 31.03.2020               | -               | -               | (28,56,096)       | (28,56,096) |

| A.EQUITY SHARE CAPITAL   |                                                |                          | Fig in Rs |
|--------------------------|------------------------------------------------|--------------------------|-----------|
| Balance As On 01.04.2020 | Change In Equity Share Capital During The Year | Balance As On 31.03.2021 |           |
| 25,00,000                | 20,00,000                                      | 45,00,000                |           |

| B. Other Equity                        | General Reserve | Capital Reserve | Retained Earnings | Total       |
|----------------------------------------|-----------------|-----------------|-------------------|-------------|
| Balance As On 01.04.2020               | -               | -               | (28,56,096)       | (28,56,096) |
| Change In Other Equity During The Year | -               | -               | (10,90,303)       | (10,90,303) |
| Balance As On 31.03.21                 | -               | -               | (39,46,399)       | (39,46,399) |

In terms of our report of even date attached

For and on behalf of the Board of Directors

For V Rawal & Co.  
Chartered Accountants  
Firm Reg. No. 011303N

Nilesh Jain  
(Partner)  
M.No: 007389  
Place: 437532  
Date: 21.05.21

Vinay Kumar Singh  
Director & CEO  
(DIN: 08306517)

Mritunjay Kumar Dev  
Company Secretary  
M.No. ACS 22171

S K Bandyopadhyay  
Director  
(DIN: 08173882)

Lokesh Purohit  
Chief Financial Officer

Arun Kumar Shukla  
Managing Director  
(DIN: 03324672)

UDIN - 2143753044AADL9323

**CHHATTISGARH COPPER LIMITED****STANDALONE CASH FLOW STATEMENT FOR THE YEAR ENDED 31ST MAR 2021**

| Particulars                                                | For the year ended 31st Mar 2021 | For the year ended 31st March 2020 |
|------------------------------------------------------------|----------------------------------|------------------------------------|
| <b>Cash flows from operating activities</b>                |                                  |                                    |
| Profit before taxation                                     | (10,90,303)                      | (3,76,269)                         |
| <b>Adjustments for:</b>                                    |                                  |                                    |
| Depreciation                                               | 96,463                           | 98,259                             |
| Investment income                                          | -                                | -                                  |
| Interest expense                                           | -                                | -                                  |
| Profit / (Loss) on the sale of property, plant & equipment | -                                | -                                  |
| <b>Working capital changes:</b>                            |                                  |                                    |
| (Increase) / Decrease in trade and other receivables       | (1,61,960)                       | (2,700)                            |
| (Increase) / (Decrease) in inventories                     | -                                | -                                  |
| Increase / (Decrease) in other payables                    | 3,34,198                         | (2,15,211)                         |
| Cash generated from operations                             | (8,21,602)                       | (4,95,921)                         |
| Interest paid                                              | -                                | -                                  |
| Income taxes paid                                          | -                                | -                                  |
| Dividends paid                                             | -                                | -                                  |
| <b>Net cash from operating activities</b>                  | (8,21,602)                       | (4,95,921)                         |
| <b>Cash flows from investing activities</b>                |                                  |                                    |
| Business acquisitions, net of cash acquired                | -                                | -                                  |
| Purchase of property, plant and equipment                  | -                                | -                                  |
| Proceeds from transfer of Fixed Asset                      | 11,120.00                        | -                                  |
| Acquisition of portfolio investments                       | -                                | -                                  |
| Investment income                                          | -                                | -                                  |
| <b>Net cash used in investing activities</b>               | 11,120.00                        | -                                  |
| <b>Cash flows from financing activities</b>                |                                  |                                    |
| Proceeds from issue of share capital                       | -                                | -                                  |
| Proceeds from long-term borrowings/Advance from Parent     | 12,30,000.00                     | -                                  |
| Payment of long-term borrowings                            | -                                | -                                  |
| <b>Net cash used in financing activities</b>               | 12,30,000.00                     | -                                  |
| <b>Net increase in cash and cash equivalents</b>           | 4,19,518                         | (4,95,921)                         |
| <b>Cash and cash equivalents at beginning of period</b>    | 15,051                           | 5,10,972                           |
| <b>Cash and cash equivalents at end of period</b>          | 4,34,569                         | 15,051                             |

In terms of our report of even date attached

For and on behalf of the Board of Directors

For V Rawal & Co.  
Chartered Accountants  
Firm Reg. No. 011303N

Nilesh Jain  
(Partner)

M.No. 08306517

Place: 43-15

Date: 24.05.21

Vinay Kumar Singh  
Director & CEO  
(DIN: 08306517)

Mritunjay Kumar Dev  
Company Secretary  
M.No. ACS 22171

S K Bandyopadhyay  
Director  
(DIN: 08173882)

Lokesh Purohit  
Chief Financial Officer

Arun Kumar Shukla  
Managing Director  
(DIN: 03324672)

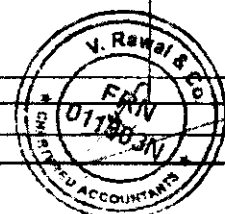
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**CHHATTISGARH COPPER LIMITED**  
**NOTES TO THE STANDALONE FINANCIAL STATEMENTS**

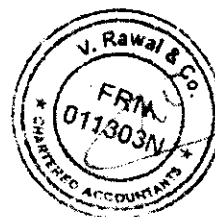
| NOTES<br>No. | PARTICULARS                                                                                                                             | (In Rs.)            |                  |                     |                  |
|--------------|-----------------------------------------------------------------------------------------------------------------------------------------|---------------------|------------------|---------------------|------------------|
|              |                                                                                                                                         | As at 31st Mar 2021 |                  | As at 31st Mar 2020 |                  |
|              |                                                                                                                                         |                     | Amount in Rs.    |                     | Amount in Rs.    |
| 1            | <b>TANGIBLE ASSETS</b>                                                                                                                  |                     |                  |                     |                  |
|              | Gross Block                                                                                                                             |                     | 5,41,057         |                     | 5,59,957         |
|              | Less: Depreciation                                                                                                                      |                     | 2,52,090         |                     | 1,63,408         |
|              | Less: Provision for Discarded Assets                                                                                                    |                     | -                |                     | -                |
|              | Less: Provision For loss of Assets Pending Invest-Assets                                                                                |                     | -                |                     | -                |
|              | <b>NET BLOCK ( SEE NEXT PAGE)</b>                                                                                                       |                     | <b>2,88,967</b>  |                     | <b>3,96,549</b>  |
| 2            | <b>CASH AND CASH EQUIVALENTS</b>                                                                                                        |                     |                  |                     |                  |
|              | <b>A) CASH AND CASH EQUIVALENTS</b>                                                                                                     |                     |                  |                     |                  |
|              | i) Cash on hand                                                                                                                         |                     |                  |                     |                  |
|              | ii) Cheques, drafts on hand                                                                                                             |                     |                  |                     |                  |
|              | iii) Balances with banks                                                                                                                |                     |                  |                     |                  |
|              | - With scheduled banks                                                                                                                  |                     | 4,34,569         |                     | 15051            |
|              | - With other banks                                                                                                                      |                     |                  |                     |                  |
|              | <b>TOTAL</b>                                                                                                                            |                     | <b>4,34,569</b>  |                     | <b>15,051</b>    |
| 3            | <b>OTHER CURRENT ASSET</b>                                                                                                              |                     |                  |                     |                  |
|              | i) GST RECOVERABLE                                                                                                                      |                     | 2,70,540         |                     | 119700           |
|              | ii) OTHER RECEIVABLE FROM HCL                                                                                                           |                     | 11,120           |                     |                  |
|              | <b>TOTAL</b>                                                                                                                            |                     | <b>2,81,660</b>  |                     | <b>1,19,700</b>  |
| 4            | <b>SHARE CAPITAL</b>                                                                                                                    |                     |                  |                     |                  |
|              | a) <b>AUTHORISED SHARE CAPITAL</b>                                                                                                      |                     |                  |                     |                  |
|              | - Equity Share Capital                                                                                                                  | 1,00,00,000         | 10,00,00,000     | 1,00,00,000         | 10,00,00,000     |
|              | b) <b>PAR VALUE PER EQUITY SHARE (in ')</b>                                                                                             | 10                  | 10               | 10                  | 10               |
|              | c) <b>PAR VALUE PER PREFERENCE SHARE (in ')</b>                                                                                         |                     |                  |                     |                  |
|              | d) <b>NO. OF SHARES ISSUED, SUBSCRIBED AND FULLY PAID</b>                                                                               |                     |                  |                     |                  |
|              | - Equity Share Capital                                                                                                                  | 4,50,000            | 45,00,000        | 2,50,000            | 25,00,000        |
|              | <b>HCL LTD</b>                                                                                                                          | 3,33,000            | 33,30,000        | 1,85,000            | 18,50,000        |
|              | <b>CMDC LTD</b>                                                                                                                         | 1,17,000            | 11,70,000        | 65,000              | 6,50,000         |
|              | <b>TOTAL:</b>                                                                                                                           | <b>4,50,000</b>     | <b>45,00,000</b> | <b>2,50,000</b>     | <b>25,00,000</b> |
|              | <b>e) RECONCILIATION OF NO. OF SHARES &amp; SHARE CAPITAL OUTSTANDING:</b>                                                              |                     |                  |                     |                  |
|              | <b>OUTSTANDING AS ON 01.04.2020</b>                                                                                                     | No. of Shares       | (In Rs.)         | No. of Shares       | (In Rs.)         |
|              | Add: No. of shares/Share Capital issued/ subscribed during the period                                                                   | 2,50,000            | 25,00,000        | -                   | -                |
|              | Less: Reduction in no. of shares/Share Capital                                                                                          | 2,00,000            | 20,00,000        | 2,50,000            | 25,00,000        |
|              | <b>OUTSTANDING AS ON 31.03.2021</b>                                                                                                     | 4,50,000            | 45,00,000        | 2,50,000            | 25,00,000        |
|              | <b>f) SHARES IN THE COMPANY HELD BY EACH SHAREHOLDER HOLDING MORE THAN 5 PERCENT SPECIFYING THE NUMBER OF SHARES HELD</b>               | In No.              | In (%)           | In No.              | In (%)           |
|              | <b>HCL LTD</b>                                                                                                                          | 3,33,000            | 74%              | 1,85,000            | 74%              |
|              | <b>CMDC LTD</b>                                                                                                                         | 1,17,000            | 26%              | 65,000              | 26%              |
|              | <b>g) AGGREGATE NO. OF SHARES ALLOTTED PURSUANT TO A CONTRACT WITHOUT PAYMENT BEING RECEIVED IN CASH (ALLOTTED TO CMDC LTD, RAIPUR)</b> | 4,50,000            | 2,50,000         |                     |                  |
|              |                                                                                                                                         | 1,17,000            | 11,70,000        | 65,000              | 6,50,000         |



| CHHATTISGARH COPPER LIMITED                  |                                                           |                     |               |                     |               |
|----------------------------------------------|-----------------------------------------------------------|---------------------|---------------|---------------------|---------------|
| NOTES TO THE STANDALONE FINANCIAL STATEMENTS |                                                           |                     |               |                     |               |
| (In Rs.)                                     |                                                           |                     |               |                     |               |
| NOTES No.                                    | PARTICULARS                                               | As at 31st Mar 2021 |               | As at 31st Mar 2020 |               |
|                                              |                                                           | Number of Shares    | Amount in Rs. | Number of Shares    | Amount in Rs. |
| 5                                            | <b>RESERVE AND SURPLUS</b>                                |                     |               |                     |               |
|                                              | a) CAPITAL RESERVE                                        |                     |               |                     |               |
|                                              | AS PER LAST BALANCE SHEET                                 |                     |               |                     |               |
|                                              | Add: Transfer from Surplus                                |                     |               |                     |               |
|                                              | Add: Grants received during the period                    |                     |               |                     |               |
|                                              | Less: Write back during the period                        |                     |               |                     |               |
|                                              | Less: Adjustments during the period                       |                     |               |                     |               |
|                                              | AS AT BALANCE SHEET DATE                                  |                     | -             |                     | -             |
|                                              | b) SPECIAL RESERVE                                        |                     |               |                     |               |
|                                              | AS PER LAST BALANCE SHEET                                 |                     |               |                     |               |
|                                              | Add: Transfer from Surplus                                |                     |               |                     |               |
|                                              | Less: Transfer to Surplus                                 |                     |               |                     |               |
|                                              | Less: Adjustments during the period                       |                     |               |                     |               |
|                                              | AS AT BALANCE SHEET DATE                                  |                     | -             |                     | -             |
|                                              | c) STATUTORY RESERVE                                      |                     |               |                     |               |
|                                              | AS PER LAST BALANCE SHEET                                 |                     |               |                     |               |
|                                              | Add: Transfer from Surplus                                |                     |               |                     |               |
|                                              | Less: Write back during the period                        |                     |               |                     |               |
|                                              | Less: Adjustments during the period                       |                     |               |                     |               |
|                                              | AS AT BALANCE SHEET DATE                                  |                     | -             |                     | -             |
|                                              | d) GENERAL RESERVE                                        |                     |               |                     |               |
|                                              | AS PER LAST BALANCE SHEET                                 |                     |               |                     |               |
|                                              | Add: Transfer from Surplus                                |                     |               |                     |               |
|                                              | Less: Write back during the period                        |                     |               |                     |               |
|                                              | Less: Adjustments during the period                       |                     |               |                     |               |
|                                              | AS AT BALANCE SHEET DATE                                  |                     | -             |                     | -             |
|                                              | e) SURPLUS/(LOSS) *                                       |                     | (10,90,303)   |                     | (28,56,096)   |
|                                              | <b>TOTAL</b>                                              |                     | (10,90,303)   |                     | (28,56,096)   |
|                                              | <b>DETAILS OF SURPLUS *</b>                               |                     |               |                     |               |
|                                              | Profit for the period as per Statement of Profit and Loss |                     | (10,90,303)   |                     | (3,76,269)    |
|                                              | Balance brought forward                                   |                     | (28,56,096)   |                     | (24,79,827)   |
|                                              | <b>BALANCE CARRIED FORWARD</b>                            |                     | (39,46,399)   |                     | (28,56,096)   |
| 6                                            | <b>OTHER CURRENT LIABILITIES</b>                          |                     |               |                     |               |
|                                              | i) Other liabilities-                                     |                     | 4,26,595      |                     | 845898        |
|                                              | 1- Advance from HCL A/c                                   | 4,00,000            |               | 650000              |               |
|                                              | 2- Other Payable A/c                                      | 26,595              |               | 195898              |               |
|                                              | 3- Other Payable CMD C A/c                                | -                   |               |                     |               |
|                                              | 4- JT TDS Payable A/c                                     | -                   |               |                     |               |
|                                              | 5- GST TDS Payable A/c                                    | -                   |               |                     |               |
|                                              | <b>TOTAL</b>                                              |                     | 4,26,595      |                     | 8,45,898      |
| 7                                            | <b>SHORT TERM PROVISIONS</b>                              |                     |               |                     |               |
|                                              | i) PROVISION - OTHERS                                     |                     |               |                     |               |
|                                              | AS PER LAST BALANCE SHEET                                 | 41,498              |               | 1,28,985            |               |
|                                              | Additions during the period *                             | 25,000              |               | 30,000              |               |
|                                              | Amount used during the period                             | 41,498              |               | 1,17,487            |               |
|                                              | Amount reversed during the period                         |                     |               |                     |               |
|                                              | <b>CLOSING BALANCE</b>                                    |                     | 25,000        |                     | 41,498        |
|                                              | <b>TOTAL</b>                                              |                     | 25,000        |                     | 41,498        |
|                                              | * Statutory auditor remuneration for 2020-21              |                     |               |                     |               |



| CHHATTISGARH COPPER LIMITED                  |                                                      |                     |               |                                 |
|----------------------------------------------|------------------------------------------------------|---------------------|---------------|---------------------------------|
| NOTES TO THE STANDALONE FINANCIAL STATEMENTS |                                                      |                     |               |                                 |
| NOTES<br>No.                                 | PARTICULARS                                          | As at 31st Mar 2021 |               | (In Rs.)<br>As on 31st Mar 2020 |
|                                              |                                                      | Amount in Rs.       | Amount in Rs. | Amount in Rs.                   |
| 8                                            | <b>DEPRECIATION AND AMORTISATION EXPENSES</b>        |                     |               |                                 |
|                                              | <b>A. DEPRECIATION</b>                               |                     |               |                                 |
|                                              | Depreciation for the period                          |                     | 96,463        | 98,259.23                       |
|                                              | <b>SUB TOTAL (A)</b>                                 |                     | 96,463        | 98,259                          |
|                                              | <b>B. AMORTISATION</b>                               |                     |               |                                 |
|                                              | Amortisation during the period                       |                     | -             | -                               |
|                                              | <b>SUB TOTAL (B)</b>                                 |                     | -             | -                               |
|                                              | <b>TOTAL (A+B)</b>                                   |                     | 96,463        | 98,259                          |
| 9                                            | <b>GENERATION, ADMINISTRATION AND OTHER EXPENSES</b> |                     |               |                                 |
|                                              | <b>ADMINISTRATION EXPENSES</b>                       |                     |               |                                 |
|                                              | Conveyance Charges, hire Charges & Other Charges     | -                   | 15,246        |                                 |
|                                              | Consultancy Charges                                  | 5,20,000            |               |                                 |
|                                              | Rent Expenses                                        | 1,31,376            | 1,58,880      |                                 |
|                                              | Water Charges                                        | 2,000               | 2,250         |                                 |
|                                              | Electricity Charges                                  | 10,240              | 25,198        |                                 |
|                                              | Telephone Charges                                    | 12,030              | 24,131        |                                 |
|                                              | Misc Exp                                             | 9,044               | 7,305         |                                 |
|                                              | Payment To Auditor                                   | 33,000              | 45,000        |                                 |
|                                              | Practising Company Secy. Fees                        | 2,76,150            |               |                                 |
|                                              |                                                      | 9,93,840            |               | 2,78,010                        |
|                                              | <b>SUB TOTAL</b>                                     | 9,93,840            |               | 2,78,010                        |
|                                              |                                                      | As at 31.03.2021    |               | As at 31.03.2020                |
|                                              | <b>Explanatory Note: -</b>                           |                     |               |                                 |
|                                              | 1) Detail of payment to auditor are as under: -      |                     |               |                                 |
|                                              | <b>i) Statutory Auditors</b>                         |                     |               |                                 |
|                                              | As Auditor                                           |                     |               |                                 |
|                                              | - Audit Fees                                         | 28,000              |               | 45,000                          |
|                                              | - Tax Audit Fees                                     | 5,000               |               | -                               |
|                                              | In Other Capacity                                    |                     |               | -                               |
|                                              | - Company Law Matters                                |                     |               | -                               |
|                                              | Reimbursement of Expenses                            |                     |               | -                               |
|                                              | <b>ii) Cost Auditors</b>                             |                     |               |                                 |
|                                              | - Cost Audit Fees                                    |                     |               |                                 |
|                                              | - Reimbursement of Expenses                          |                     |               |                                 |
|                                              | <b>iii) Internal Auditors</b>                        |                     |               |                                 |
|                                              | - Audit Fees                                         |                     |               |                                 |
|                                              | - Reimbursement of expenses                          |                     |               |                                 |
|                                              | <b>TOTAL</b>                                         | 33,000              |               | 45,000                          |



**Note : 1 Property, plant and equipment ( Active Assets)**

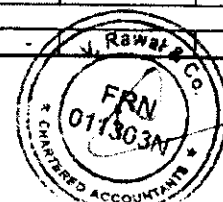
( in Rs)

| DESCRIPTION                             | Free Hold Land | Buildings including Sanitary and Water Supply System | Plant, Machinery and Mining Equipment | Furniture & Fixtures & Office Equipment | Vehicles | Electrical Equipment and Installation | Total    |
|-----------------------------------------|----------------|------------------------------------------------------|---------------------------------------|-----------------------------------------|----------|---------------------------------------|----------|
| <b>YEAR ENDED 31ST MARCH 2020</b>       |                |                                                      |                                       |                                         |          |                                       |          |
| <b>Gross Carrying Amount</b>            |                |                                                      |                                       |                                         |          |                                       |          |
| Opening Gross Carrying Amount           |                |                                                      |                                       |                                         |          |                                       |          |
| Exchange Differences                    |                |                                                      |                                       |                                         |          |                                       | -        |
| Additions                               |                |                                                      |                                       | 5,59,957                                |          |                                       | 5,59,957 |
| Inter-head Adjustments                  |                |                                                      |                                       |                                         |          |                                       | -        |
| Assets classified as held for sale      |                |                                                      |                                       |                                         |          |                                       | -        |
| Disposals                               |                |                                                      |                                       |                                         |          |                                       | -        |
| Transfers                               |                |                                                      |                                       |                                         |          |                                       | -        |
| <b>Closing Gross Carrying Amount</b>    |                |                                                      |                                       | 5,59,957                                |          |                                       | 5,59,957 |
| <b>Accumulated Depreciation</b>         |                |                                                      |                                       |                                         |          |                                       |          |
| Opening Accumulated Depreciation        |                |                                                      |                                       |                                         |          |                                       | -        |
| Depreciation charge during the year     |                |                                                      |                                       | 1,63,408                                |          |                                       | 1,63,408 |
| Impairment Losses                       |                |                                                      |                                       |                                         |          |                                       | -        |
| Exchange Differences                    |                |                                                      |                                       |                                         |          |                                       | -        |
| Inter-head Adjustments                  |                |                                                      |                                       |                                         |          |                                       | -        |
| Assets classified as held for sale      |                |                                                      |                                       |                                         |          |                                       | -        |
| Disposals                               |                |                                                      |                                       |                                         |          |                                       | -        |
| Transfers                               |                |                                                      |                                       |                                         |          |                                       | -        |
| <b>Closing Accumulated Depreciation</b> | -              | -                                                    | -                                     | 1,63,408                                | -        | -                                     | 1,63,408 |
| <b>Net Carrying Amount 2019-20</b>      | -              | -                                                    | -                                     | 3,96,549                                | -        | -                                     | 3,96,549 |

**Note : 1 Property, plant and equipment**

( in Rs)

| DESCRIPTION                             | Free Hold Land | Buildings including Sanitary and Water Supply System | Plant, Machinery and Mining Equipment | Furniture & Fixtures & Office Equipment | Vehicles | Electrical Equipment and Installation | Total    |
|-----------------------------------------|----------------|------------------------------------------------------|---------------------------------------|-----------------------------------------|----------|---------------------------------------|----------|
| <b>YEAR ENDED 31st MAR 2021</b>         |                |                                                      |                                       |                                         |          |                                       |          |
| <b>Gross Carrying Amount</b>            |                |                                                      |                                       |                                         |          |                                       |          |
| Opening Gross Carrying Amount           |                |                                                      |                                       | 5,59,957                                |          |                                       | 5,59,957 |
| Exchange Differences                    |                |                                                      |                                       |                                         |          |                                       | -        |
| Additions                               |                |                                                      |                                       |                                         |          |                                       | -        |
| Inter-head Adjustments                  |                |                                                      |                                       |                                         |          |                                       | -        |
| Assets classified as held for sale      |                |                                                      |                                       |                                         |          |                                       | -        |
| Disposals                               |                |                                                      |                                       | 18,900.00                               |          |                                       | 18,900   |
| Transfer                                |                |                                                      |                                       |                                         |          |                                       | -        |
| <b>Closing Gross Carrying Amount</b>    |                |                                                      |                                       | 5,41,057                                |          |                                       | 5,41,057 |
| <b>Accumulated Depreciation</b>         |                |                                                      |                                       |                                         |          |                                       |          |
| Opening Accumulated Depreciation        |                |                                                      |                                       | 1,63,408                                |          |                                       | 1,63,408 |
| Depreciation charge during the year     |                |                                                      |                                       | 96,463                                  |          |                                       | 96,463   |
| Impairment Losses                       |                |                                                      |                                       |                                         |          |                                       | -        |
| Exchange Differences                    |                |                                                      |                                       |                                         |          |                                       | -        |
| Inter-head Adjustments                  |                |                                                      |                                       |                                         |          |                                       | -        |
| Assets classified as held for sale      |                |                                                      |                                       |                                         |          |                                       | -        |
| Disposals                               |                |                                                      |                                       | 7,781                                   |          |                                       | 7,781    |
| Transfers                               |                |                                                      |                                       |                                         |          |                                       | -        |
| <b>Closing Accumulated Depreciation</b> | -              | -                                                    | -                                     | 2,52,090                                | -        | -                                     | 2,52,090 |
| <b>Net Carrying Amount 2020-21</b>      | -              | -                                                    | -                                     | 2,88,967                                | -        | -                                     | 2,88,967 |



## 11. SIGNIFICANT ACCOUNTING POLICIES

### 1. Corporate Information

Established on 21.05.2018 and domiciled in India, Chhattisgarh Copper Limited (CCL) is a Joint Venture Company (JVC) formed between Hindustan Copper Limited (HCL) and Chhattisgarh Mineral Development (CMD) for exploration, mining and beneficiation of copper and its associated minerals in the State of Chhattisgarh. Since HCL holds 74% equity in JVC, it is also a Subsidiary of HCL as per Section 2(87) of the Companies Act, 2013.

### 2. SIGNIFICANT ACCOUNTING POLICIES

#### 2.1 Basis of Accounting

The accompanying financial statements have been prepared under historical cost convention from the books of accounts maintained under accrual basis except for certain financial instruments which are measured at fair value and in accordance with Indian Accounting Standards (IND AS), as notified by MCA prescribed under the Companies (Indian Accounting Standards) Rules, 2015 ("Ind AS Rules"), of the Companies Act, 2013. The accounting policies, methods of computation and presentation applied in these financial statements have been consistently applied in each of the periods presented.

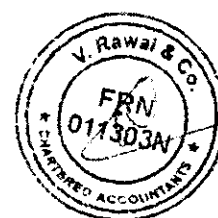
#### 2.2 Use of Estimates

The preparation of financial statements in accordance with Ind AS requires the use of certain critical accounting estimates. It also requires management to exercise judgment, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities, and the accompanying disclosures, and the disclosure of contingent liabilities. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed as "Notes to Financial Statements".

#### 2.3 Property, Plant and Equipment (PPE)

The cost of an item of PPE is recognized as an asset if and only if, it is probable that future economic benefits associated with the item will flow to the company and the cost of the item can be measured reliably. The cost of an item of PPE is the cash price equivalent at the recognition date. The cost of an item of PPE comprises:

- i. Purchase price, including import duties and non-refundable purchase taxes, after deducting trade discounts and rebates.
- ii. Costs directly attributable to bringing the PPE to the location and condition necessary for it to be capable of operating in the manner intended by management.



- iii. The initial estimate of the costs of dismantling and removing the item and restoring the site on which it is located, the obligation for which the company incurs either when the PPE is acquired or as a consequence of having used the PPE during a particular period for purposes other than to produce inventories during that period.

The company has chosen the cost model of recognition and this model is applied to an entire class of PPE. After recognition as an asset, an item of PPE is carried at its cost less any accumulated depreciation and any accumulated impairment losses.

When parts of an item of PPE have different useful lives, they are accounted for as separate items (major components) of PPE.

## 2.4 Depreciation

The depreciable amount of an item of PPE is allocated on a straight line basis over its useful life prescribed in Part C of Schedule II of the Companies Act, 2013 or actual useful life of assets assessed by the Technical Committee of the company, whichever is lower. The residual value and the useful life of an asset are reviewed, at each financial year-end. Each part of an item of PPE with a cost that is significant in relation to the total cost of the item is depreciated separately. Depreciation on all such items have been provided from the date they are 'Put to Use' till the date of sale. The residual value of all such items is taken at 5% of the original cost of individual asset.

An item of PPE is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Certain consumable items of small value whose useful life is very limited are directly charged to revenue in the year of purchase.

From the date Ind AS came into effect, the carrying amount of an asset is depreciated over the remaining useful life of the asset as per estimate of remaining useful life.

## 3. Current and Non-current Classification

The Company presents assets and liabilities in the Balance Sheet based on current/non-current classification. An asset is treated as current by the company when:

- it expects to realize the asset, or intends to sell or consume it in its normal operating cycle;
- it holds the assets primarily for the purpose of trading;
- it expects to realize the asset within twelve months after the reporting date;
- the asset is cash or cash equivalent (as defined under Ind AS 7) unless the asset is restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period.

Except the above, all other assets are classified as Non-current.



A liability is treated as current by the company when:

- its expects to settle the liability realize the asset, or intends to sell or consume it in its normal operating cycle;
- it expects to settle the liability in its normal operating cycle;
- it holds the liability primarily for the purpose of trading;
- the liability is due to be settled within twelve months after the reporting period;
- it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

Except the above, all other liabilities are classified as non-current.

#### **4. Mineral Exploration and Evaluation Expenditures**

##### **4.1 Pre-exploration costs**

Pre-exploration costs are expensed in the period in which they are incurred.

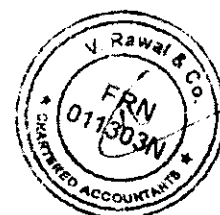
##### **4.2 Exploration and Evaluation Assets (E & E Assets)**

Once the legal right to explore a property has been acquired, costs directly related to exploration and evaluation expenditures are recognized and capitalized, in addition to the acquisition costs. These direct expenditures include such costs as acquisition of rights to explore, materials used, topographical, geological, geochemical and geophysical evaluation, surveying costs, sampling, drilling costs, activities in relation to evaluation of technical feasibility and commercial viability of extracting a mineral resource, consultancy cost, payments made to contractors etc. during the exploration phase. Costs not directly attributable to exploration and evaluation activities are expensed in the period in which they occur.

Administrative and general overhead cost that are directly attributable to the assets are capitalized as E & E Assets.

E & E Assets may be tangible or intangible. To the extent that a tangible asset is consumed in developing an intangible asset, the amount reflecting that consumption may be part of the cost of the intangible asset created. However, the asset being used remains a tangible asset.

When a project is deemed to no longer have commercially viable prospects for the Company, exploration and evaluation expenditures in respect of that project are deemed to be impaired. As a



result, those exploration and evaluation expenditure costs, in excess of estimated recoveries, are written off to Statement of Profit & Loss.

The Company assesses exploration and evaluation assets for impairment when facts and circumstances suggest that the carrying amount of an asset may exceed its recoverable amount.

Once the technical feasibility and commercial viability of extracting the mineral resource has been determined, the property is considered to be a mine under development and is classified as "mines under construction".

Exploration and evaluation Assets are also tested for impairment before the assets are transferred to development properties.

As the Company currently has not commenced commercial operations, any incidental revenues, including receipt of input tax credit receivables, earned in connection with exploration activities are applied as a reduction to capitalized exploration costs.

An impairment loss is reversed if there is an indication that there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation, if no impairment loss had been recognized.

#### **4.3 Expenditure for decommissioning/site restoration liability**

Financial implications towards decommissioning/site restoration liability under relevant Acts and Rules are technically estimated and the involvement, not being material, are charged off on actual incurrence.

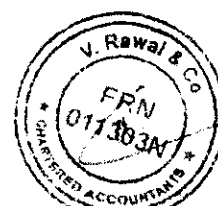
### **5. Estimates & Provisions**

#### **5.1 Use of Estimates**

The presentation of financial statements in conformity with the Generally Accepted Accounting Principles (GAAP) requires estimates and assumptions to be made that affects the reported amount of assets and liabilities on the date of the financial statements and the reported amount of revenues and expenses during the reported period. Difference between the actual result and estimates are recognized in the period in which the results are known/ materialized.

#### **5.2 Provisions, Contingent Liabilities & Contingent Assets**

- Provisions are recognized in the accounts in respect of present probable obligations, the amount of which can be reliably estimated.
- Contingent Liabilities are not recognized but are disclosed in respect of possible obligations that arise from past events but their existence is confirmed by the occurrence or non-



occurrence of one or more uncertain future events not wholly within the control of the company.

- Contingent assets are neither recognized nor disclosed in the financial statements.

#### 6. Provision for Income tax and Deferred tax assets

- Provision for taxation is made in accordance with the income tax laws and rules prevailing at the time of the relevant assessment years after considering various reliefs admissible under the provisions of the Income Tax Act, 1961.
- A deferred tax asset is recognised to the extent that it is probable that future taxable profit will be available against which the deductible temporary differences and tax losses can be utilised..

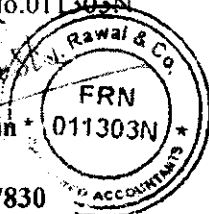
#### 7. Cash and Cash Equivalents

Cash and cash equivalent in the Balance Sheet comprise cash at bank and on hand and short-term deposit with an original maturity of three months or less which are subject to insignificant risk of changes in value.

For V Rawal & Co.  
Chartered Accountants  
Firm Reg.No.011303N

Nilesh Jain  
(Partner)

M.No: 437830



*Lokesh Purohit*  
Lokesh Purohit  
Chief Financial Officer

*Vinay K Singh*  
Vinay K Singh  
Director & CEO  
(DIN:08306517)